

South Africa: Coalition Politics, Energy Recovery, and a Fraying US Relationship

Charles Clarke | July 2026

Executive Summary

South Africa enters the second half of 2026 in a paradoxical position: its most chronic domestic risk, electricity supply, has eased substantially, while its political and diplomatic risk profile has hardened. The Government of National Unity (GNU) has proved more durable than many expected after its rocky first year, but the 4 November 2026 municipal elections will be the first real test of coalition politics fought ward by ward rather than negotiated in Pretoria. Simultaneously, the Expropriation Act is before the courts, relations with Washington have deteriorated sharply over land reform, BRICS alignment and tariffs, and recurring waves of xenophobic mobilisation point to strained social cohesion beneath the surface of macroeconomic stabilisation. For investors, employers and policy watchers, the country's near-term trajectory hinges less on any single flashpoint than on whether coalition governance can absorb these pressures simultaneously.

A Personal Note: From the Bantustans to the Ballot Box

My reading of South Africa's political risk landscape is shaped partly by firsthand exposure to the country's spatial and political legacies. Visiting former Bantustan townships in December 2023 brought home how apartheid's homeland system did more than segregate: it manufactured under development by design, concentrating populations in areas deliberately starved of infrastructure, industry and political voice. That legacy has not been undone by three decades of democracy; it still maps closely onto which municipalities struggle hardest with service delivery today. The line from those townships to the unrest described in Section 5 is not abstract to me; it runs directly through decades of unmet promises of local government reform.

This is also why I weight ground-level politics as heavily as I do in this report. Steve Biko's Black Consciousness Movement argued in the 1970s that meaningful political change in South Africa would not be handed down from above, whether by negotiated settlement or a sympathetic elite, but would have to be built outward from psychological liberation and community organising. That insight has aged unevenly: it correctly anticipated that formal democratic transition would not by itself resolve township-level marginalisation, but the grassroots mobilisation filling that vacuum today, from service-delivery protests to movements such as Operation Dudula, has often turned outward against migrants rather than upward against the state failures Biko identified. Reading contemporary unrest as a continuation of a real tradition of bottom-up mobilisation, rather than a spontaneous or purely opportunistic phenomenon, is, in my view, essential to judging whether it fades after November's elections or hardens into a durable feature of South African politics.

A more recent visit to Johannesburg in July 2026 sharpened this further, from a different angle. The scale of private security in the city, guarded compounds, armed-response signage, electrified perimeter walls, is hard to miss and speaks to the same policing and service-delivery gaps discussed in Section 5; in many neighbourhoods, security has been substantially privatised rather than provided by the state. Equally striking was the visibility of Chinese-language and Chinese-sponsored advertising across the city, on billboards and retail signage alike, a street-level marker of the deepening economic ties that sit alongside the more contested diplomatic BRICS positioning discussed in Section 4.

Seeing both on the ground was a useful corrective: national-level indicators like the Eskom turnaround can mask how unevenly risk is actually lived, block by block.

Risk Summary

Risk Area	Direction (12mo)	Likelihood	Rating
Coalition (GNU) breakdown	Stabilising, but November municipal elections are a stress test	Low–Medium	MEDIUM
Energy security (Eskom)	Improving materially; tariff and grid-reliability risk persists	Low	LOW
Land reform / Expropriation Act	Contested in court; outcome will shape investor sentiment	Medium	MEDIUM
US relations / trade access	Deteriorating; tariffs, AGOA and G20 exclusion in play	Medium–High	HIGH
Social unrest (xenophobia, service delivery)	Elevated ahead of the November 2026 municipal poll	Medium–High	HIGH

Ratings reflect a 12-month forward view as of August 2026 and are directional judgements, not formal probability estimates.

1. Coalition Governance: The GNU's First Real Test

Formed after the African National Congress lost its parliamentary majority for the first time since 1994, the ten-party GNU has moved from a turbulent first year, marked by disputes over the budget, National Health Insurance and expropriation policy, into what most analysts now describe as a more institutionalised phase. ANC and Democratic Alliance (DA) officials alike point to a maturing culture of negotiation and continued fiscal credibility, and investor confidence has firmed accordingly: South Africa exited the Financial Action Task Force grey list in 2025 and GDP growth ticked up to around 1.1% that year.

The more serious test is structural rather than budgetary. The 4 November 2026 local government elections are expected to confirm South Africa as a genuine coalition country at municipal level, with outright majorities unlikely in most major metros. Johannesburg is the clearest flashpoint: three GNU partners, the DA, the ANC and the Patriotic Alliance, will contest the mayoralty against one another there, testing whether governing partnership in Pretoria can coexist with electoral rivalry on the ground. A chaotic post-election coalition-formation process in the metros, rather than a national rupture, is the more probable channel through which GNU stability could be tested.

2. Energy Security: Stabilisation, Not Resolution

The most significant positive shift in South Africa's risk profile is the near-disappearance of load-shedding. Eskom passed 365 consecutive days without rotational power cuts in May 2026, its longest blackout-free run since 2018, aided by improved plant availability, reduced unplanned outages and lower diesel dependence. Eskom's winter 2026 outlook (April–August) projected no scheduled load-shedding, and that forecast broadly held, though the utility flagged a residual risk of Stage 2–6 cuts if unplanned losses spiked during peak winter demand.

This is a genuine structural improvement rather than a temporary reprieve, but two second-order risks remain relevant to any investment or operational planning. First, tariffs: regulator-approved increases of roughly 8.8% and 9.0% for 2026, with a further hike already pencilled in for 2027/28, are compounding electricity costs even as

reliability improves. Second, localised load reduction, distinct from national load-shedding, continues to affect a substantial share of feeders, particularly in township and peri-urban areas, with full resolution not expected before 2027. The energy narrative for political risk purposes has shifted from supply reliability to affordability and distributional fairness.

3. Land Reform: The Expropriation Act on Trial

The Expropriation Act, signed into law in early 2025 and intended to replace apartheid-era expropriation legislation, permits land seizure for public purposes and, in narrowly defined circumstances, without compensation. It has become one of the GNU's most visible internal fault lines: the DA, a coalition partner, joined AfriForum and the Institute of Race Relations in a Western Cape High Court challenge that opened in August 2026, arguing the Act breaches constitutional property protections and that flawed parliamentary procedure was used to pass it. The Presidency and National Council of Provinces are defending the law, while contesting whether the Western Cape court even has jurisdiction over parts of the claim.

The case matters well beyond its legal specifics. It is a rare instance of a governing coalition partner suing the government it sits inside, and the outcome will shape both investor perceptions of property-rights security and the durability of the ANC-DA working relationship. The Act has also become entangled in the deterioration of the US relationship, discussed below, giving the court's eventual ruling added diplomatic weight.

4. Foreign Policy: BRICS Positioning and the US Rift

South Africa's external risk environment has worsened more than its domestic one. Relations with Washington, strained since early 2025 over the Expropriation Act, South Africa's genocide case against Israel at the International Criminal Court, and a refugee programme prioritising Afrikaner applicants, deteriorated further in 2026. The US has imposed tariffs as high as 30–40% on categories of South African exports, and Washington signalled it would not include South Africa in the 2026 G20 summit it is hosting, despite South Africa's continued G20 membership and its hosting of the prior year's summit in Johannesburg.

Pretoria's response has been to hedge rather than realign decisively. It has continued to deny that de-dollarisation is a BRICS objective, while deepening bilateral ties with fellow tariff-hit economies such as Brazil and pursuing new export markets, including a citrus market-access breakthrough with India. Joint naval exercises with China, Russia and Iran in early 2026 drew sharp US criticism and reinforced a Washington narrative of South Africa as an unreliable partner, even though most analysts view this as diplomatic friction rather than a formal break from the West. For risk purposes, the trend line, tariff exposure, AGOA uncertainty ahead of its scheduled expiry, and exclusion from key US-hosted forums, is negative and shows no clear sign of near-term repair.

5. Social Cohesion: Service Delivery and Xenophobic Unrest

Beneath the macro-level indicators, social risk has been rising. Weak service delivery at municipal level, persistent corruption around public tenders, and high unemployment (around 32%, with youth unemployment above 50%) have fed recurring waves of anti-immigrant mobilisation through 2026. Movements including Operation Dudula and March and March organised large-scale protests across Johannesburg, Pretoria, Durban and other centres between January and June 2026, with documented incidents of looting of foreign-owned shops, arson, and vigilante violence; Human Rights Watch reported an insufficient policing response in several cases.

This unrest is significant for political risk analysis for two reasons. First, it is closely correlated with the same governance failures, weak municipal delivery, that are driving the November elections, meaning the same structural weaknesses are generating both electoral and social volatility simultaneously. Second, online amplification networks built around anti-immigration narratives have shown themselves capable of converting localised grievances into coordinated national mobilisation with little warning, which raises the tail risk of unrest coinciding with, or being triggered by, the municipal election period itself.

Outlook: The November 2026 Elections as Inflection Point

Most of the risks identified above converge on a single date: the 4 November 2026 municipal elections. A relatively orderly election and coalition-formation process would likely reinforce the narrative of a maturing, if fractious, coalition democracy, and would be a mildly positive signal for investors already encouraged by the energy turnaround. A chaotic result, particularly in Johannesburg or other contested metros, would sharpen doubts about the GNU's durability at exactly the moment South Africa is trying to rebuild diplomatic and trade credibility with Washington. The Expropriation Act ruling, expected in the months following the court hearings, is a second catalyst to watch, given its direct bearing on both investor sentiment and the US relationship.

Bottom Line

South Africa's political risk profile is bifurcated: domestic governance and energy security are on an improving trajectory, while external relations and social cohesion are deteriorating. The net effect is a country that is more investable on infrastructure fundamentals than it was three years ago, but whose political risk is increasingly generated externally (Washington) and locally (municipal-level unrest and service delivery), rather than by the national-level coalition arithmetic that dominated headlines through 2024 and 2025.

Sources: Daily Maverick, EWN, Business Day, The South Africa Brief, Africa Practice, GIS Reports, Human Rights Watch, ORF, LSE Africa at LSE, ChargePoint SA, and Wikipedia (Expropriation Act, 2024). Prepared as an independent analytical exercise for CV/portfolio purposes; not for investment or policy use.